

HOUSE No. 3196

The Commonwealth of Massachusetts

PRESENTED BY:

Frank A. Moran

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act to reform the healthcare cost benchmark.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Frank A. Moran</i>	<i>17th Essex</i>	<i>1/14/2025</i>

HOUSE No. 3196

By Representative Moran of Lawrence, a petition (accompanied by bill, House, No. 3196) of Frank A. Moran for legislation to reform the healthcare cost benchmark. Revenue.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act to reform the healthcare cost benchmark.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 Section 1: Section 7H 1/2 of chapter 29 of the General Laws, as so appearing, is hereby
2 amended by inserting after the definition of “Growth rate of potential gross state product” the
3 following definition:-

4 “Historical growth rate in gross state product”, the long-run average annual growth rate
5 of the commonwealth's gross state product measured over the most recent ten-year period.

6 Section 2: Section 7H 1/2 of chapter 29 of the General Laws, as so appearing, is hereby
7 amended by striking the last sentence in section (b).

8 Section 3. Section 7H 1/2 of chapter 29 of the General Laws, as so appearing, is hereby
9 amended by inserting the following new section:

10 (d) On or before January 15, the secretary of administration and finance, in consultation
11 with the house and senate committees on ways and means, shall calculate the average annual
12 growth rate of actual gross state product for the most recent ten-year period. The secretary shall

report to the house and senate ways and means committees its methodology and results. The historical growth rate in gross state product shall be provided to the health policy commission established under chapter 6D and be made public by the executive office of administration and finance.

SECTION 4. Section 9 of Chapter 6D is hereby further amended by striking subsection (b)(3) in its entirety and replacing with the following:

(3) For calendar years 2023 and beyond, the health care cost growth benchmark shall be equal to historical growth rate in gross state product established under said section 7H 1/2 of chapter 29 of the General Laws.